

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

MODULE - 6

- Developed Countries
- Developing Countries
- GDP, GNP
- NDP, NNP
- Real GDP
- Nominal GDP
- GDP Deflator and CPI / WPI

DEVELOPED COUNTRIES



USA



JAPAN



GERMANY



FRANCE



UK



SOUTH KOREA



AUSTRALIA



CANADA

- More industrialized.
- More National Income based on services, followed by industry.
- High per capita income.
- World class infrastructure ... both physical & social.
- Insignificant people below poverty line.
- High standard of living.
- High HDI.

DEVELOPING COUNTRIES



सत्यमेव जयते
INDIA



CHINA



BRAZIL



SOUTH AFRICA



MEXICO



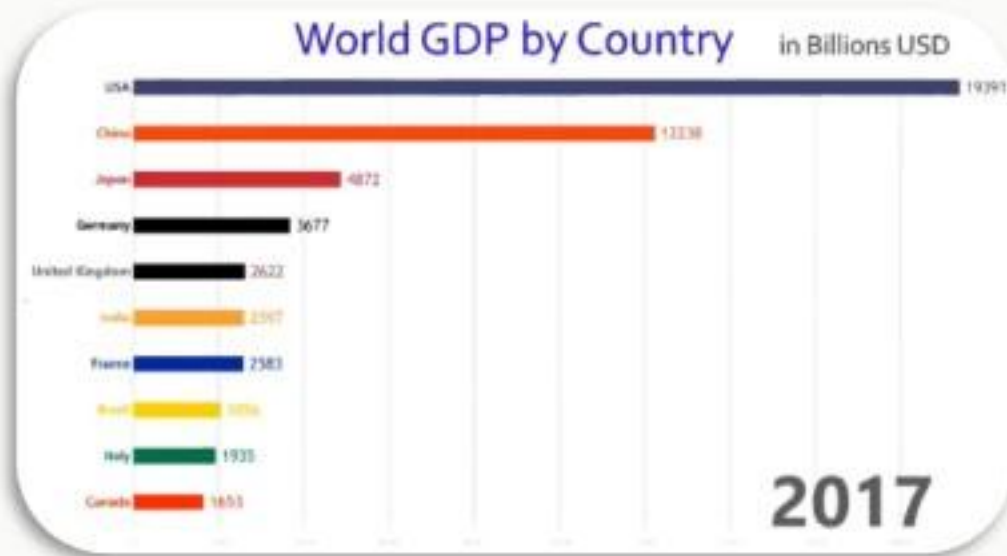
TURKEY



NIGERIA

- These are in the process of industrialization i.e., shift from agrarian economy to industrialized economy.
- Substantial people below poverty line.
- Less per capita income.
- Poor infrastructure ... both physical and social.
- Low HDI.
- Poor education standards.

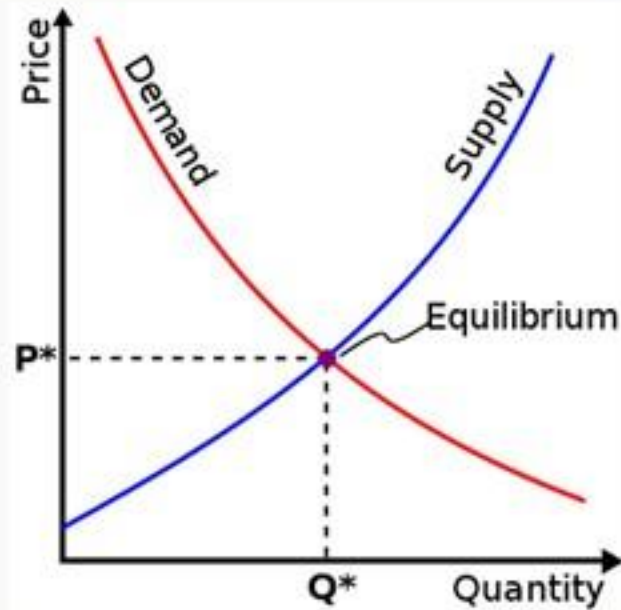
MACROECONOMICS



- It looks at the behavior of the economy “as a whole”.
- Main indices are GDP, Inflation, Unemployment, Investment, Savings etc.

In Greek, Macro means “Large”.

MICROECONOMICS



- It looks at the behavior of the individual units, individual businesses, firms, individual households etc.
- It looks at the demand / supply elasticity of individual entities.



In Greek, Micro means "Small".



1

GROSS DOMESTIC PRODUCT



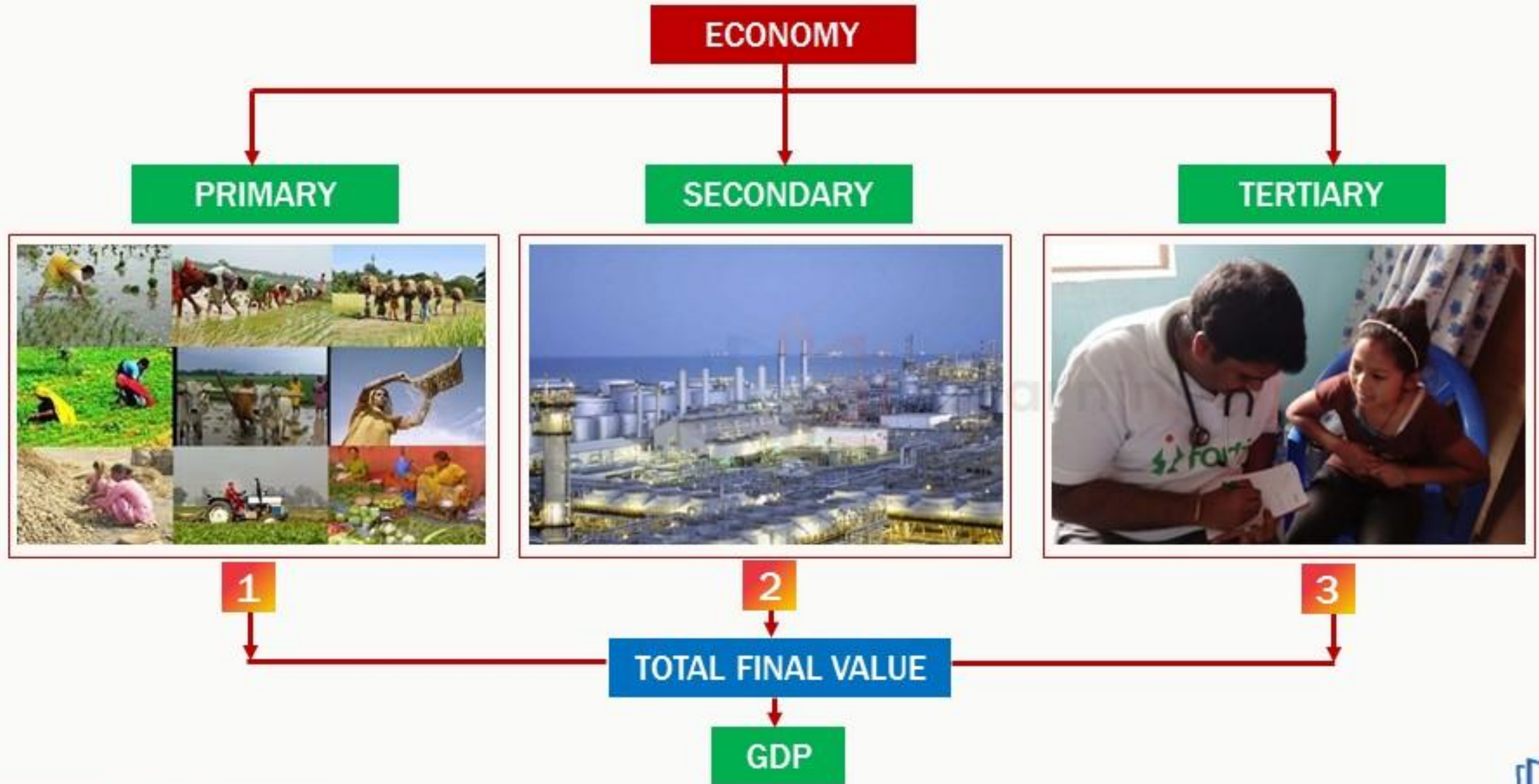
GROSS DOMESTIC PRODUCT

- It is one of the many indicators of standard of living in a country.
- GDP is regardless of ownership.
- Here final goods and services produced are taken.
- Production is within the country's borders.

GROSS DOMESTIC PRODUCT

The total value of final goods and services produced within a country's borders in a year regardless of ownership.





2

GROSS NATIONAL PRODUCT



GROSS NATIONAL PRODUCT

- $GNP = GDP + \text{Income from the goods and services produced abroad by the nationals} - \text{income from the goods and services produced domestically by the foreign nationals.}$

GROSS NATIONAL PRODUCT

Total value of goods and services produced in a country + net factor income from abroad.



2

GROSS NATIONAL PRODUCT



-



GDP

+



AIRTEL AFRICA

Subtract this factor
income

Add this factor
income





DEPRECIATION

Depreciation is an accounting method of allocating the cost of a tangible asset over its useful life.



3 NET DOMESTIC PRODUCT

Gross Domestic Product (GDP) minus depreciation on the country's capital goods i.e. consumption of fixed capital.



4 NET NATIONAL PRODUCT

Gross National Product (GNP) minus depreciation on the country's capital goods i.e. consumption of fixed capital.



GDP AT CONSTANT PRICES & CURRENT PRICES**2017-18**

Production – 10 Packs
Each Cost – Rs. 10

TOTAL GDP ... Rs. 100**2018-19**

Production – 11 Packs
Each Cost – Rs. 11

TOTAL GDP ... Rs. 121

Real GDP – Rs. 110 (10%)

Nominal GDP – Rs. 121 (21%)





GDP DEFLATOR, NOMINAL GDP AND REAL GDP

- Nominal GDP differs from Real GDP, in the sense, when the effect of inflation is taken out, we arrive at the real GDP.
- Nominal GDP is normally higher than Real GDP in an expanding economy.

$$\text{GDP DEFLATOR} = \frac{\text{NOMINAL GDP}}{\text{REAL GDP}} \times 100$$



HOW GDP DEFLATOR IS DIFFERENT FROM WPI AND CPI?



WPI / CPI

- CPI is based on only a basket of select goods and services included in it. It does not capture inflation across the economy as a whole.
- WPI has no element of services sector. It captures only the prices at the wholesale / producer level.
- CPI and WPI data are released every month.



GDP DEFLATOR

- GDP deflator allows to absorb changes in prices in an economy's consumption or investment patterns.
- The basket each year is the set of all goods (as well as services) that were produced domestically, weighed by the market value of the total consumption of each good.
- GDP deflator reflects up to date expenditure patterns.
- GDP deflator is available only on a quarterly basis along with GDP estimates.

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